



Export Education Levy Annual Report

For the financial year ended
30 June 2012

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Background

This document reports on administration of the Export Education Levy during 2011-12, as required by Section 238I (3) of the Education Act.

The Export Education Levy

In 2003 the Government introduced a compulsory industry levy to fund a wide range of development and risk management initiatives for the export education sector.

The Export Education Levy is authorised according to section 238 of the Education Act 1989. Regulations prescribing the levy first came into force on 10 January 2003. The Levy is made up of a flat fee component of \$185 (excluding GST) payable by each provider, together with 0.45% of tuition fee income (excluding GST). State and state integrated schools pay the Export Education Levy as a component of their International Student Levy.

Section 238I of the Education Act states the purpose of the Export Education Levy, and stipulates that:

- (1) *The purposes to which the funds of the levy may be put are as follows:*
 - (a) *the development, promotion, and quality assurance of the export education sector, which may include (without limitation) —*
 - (i) *professional and institutional development; and*
 - (ii) *marketing; and*
 - (iii) *implementation of scholarship schemes; and*
 - (iv) *research, and resource development; and*
 - (v) *support (financial or otherwise) of other bodies engaged in the development, promotion, or quality assurance of the export education sector;*
 - (b) *the making of payments as set out in subsections (1A) and 1(B);*
 - (c) *the administration and audit of the code;*
 - (d) *the general administration of the levy and associated purposes.*
- (1A) *Subsection (1B) applies if —*
 - (a) *an international student is or was enrolled with a private training establishment for a course of study or training; and*
 - (b) *at the time of the student's enrolment the private training establishment held a current registration under Part 18; and*
 - (c) *the private training establishment has not, cannot, or will not provide, in whole or in part, the course of study or training.*
- (1B) *If this subsection applies, the funds of the levy may be used for any of the following:*
 - (a) *to make payment to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training*

establishment in respect of the student's course of study or training if, and to the extent that,

- (i) the private training establishment has not refunded the tuition fees or other payment; and*
 - (ii) the agency responsible for the administration of the levy approves the reimbursement of the student as necessary and appropriate in the circumstances:*
- (b) with the approval of the Minister, to reimburse the Crown for any sum provided by the Crown and paid to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that, -*
- (i) the private training establishment had not refunded the tuition fees or other payment; and*
 - (ii) the agency responsible for the administration of the levy approved the reimbursement of the student as necessary and appropriate in the circumstances:*
- (c) with the approval of the Minister, to reimburse, in whole or in part, the agency responsible for the administration of the levy, or any Crown entity, for –*
- (i) costs incurred by that agency or Crown entity in placing the student with an alternative provider; or*
 - (ii) other costs incurred by that agency or Crown entity as a direct result of the private training establishment not providing the course of study or training.*

Section 238I (3) of the Education Act refers to the requirement for an annual report on the levy:

As soon as practicable after 1 July in each year, the agency responsible for the administration of the levy must present to the Minister an annual report on the administration of the levy, which must include audited financial statements prepared in accordance with generally accepted accounting practice; and the Minister must present a copy of the report to the House of Representatives.

Funds raised by the levy are held in an Export Education Levy Trust Account, administered by the Ministry of Education, and are ring-fenced to ensure that strategic development work is on-going and securely resourced.

The Ministry of Education has responsibility for collecting the levy, the administration of the *Code of Practice for the Pastoral Care of International Students*, and the compensation of international students who are affected by the closure of private training establishments.

The Education New Zealand Crown agency is responsible for operating the promotions, market research and professional development projects which are funded from the Export Education Levy, together with the work it is funded for by the Crown through Vote Tertiary Education.

Policy development during 2011/12

During the year a number of significant changes occurred in the strategic planning and operation of the government's role in supporting the international education sector. These are briefly summarized below.

Leadership Statement for International Education

The government has set a series of ambitious goals and objectives for the further growth of international education. The *Leadership Statement for International Education* was released by the Minister for Tertiary Education, the Hon Steven Joyce, on 20 September 2011. A copy of the Leadership Statement can be obtained through www.minedu.govt.nz/international

The Leadership Statement's vision for international education is that *"New Zealand's quality education services are highly sought after internationally, and expand our international social, cultural and economic engagement."*

There are three goals. The first is that *"New Zealand's education services delivered in New Zealand are highly sought after by international students."* The objective is to grow the real economic value of international education to \$5 billion over the next fifteen years.

The second goal is that *"New Zealand's education services in other countries are highly sought after by students, education providers, businesses and Governments overseas."* A particular objective is to increase annual revenues from providing education services offshore, to \$0.5 billion over the next fifteen years.

The third goal is that *"New Zealand makes the best possible use of its international education expertise to build skills in our work force, to grow research capability and to foster wider connections between New Zealand and overseas firms."*

The objectives here include expanding education relationships with other countries, to grow international postgraduate students, and to encourage New Zealanders' ability to operate across cultures.

Establishment of Education New Zealand

The new Education New Zealand Crown agency was formally established on 1 September 2011.

Education New Zealand took over the resources of the former Education New Zealand *Trust*, together with the international liaison staff of the Ministry of Education (including education counsellors), and some offshore education marketing staff of New Zealand Trade and Enterprise.

Education New Zealand is particularly responsible for the strategic promotion of New Zealand's valuable and growing international education sector, including the national brand (www.newzealandeducated.com).

In the 2011 Budget the government approved an annual increase of \$10 million in the funding for strategic international education promotions for each of the next four

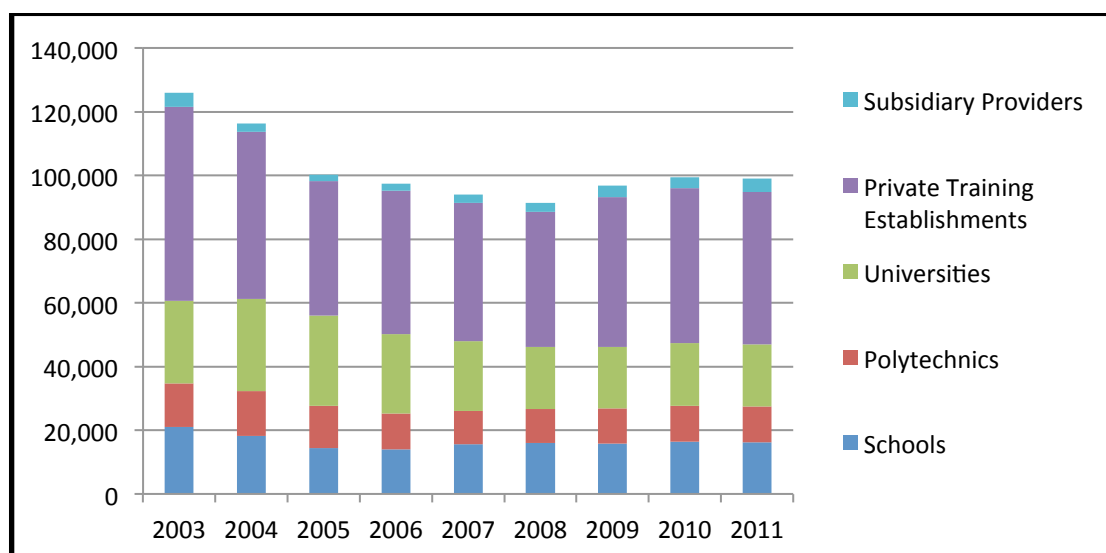
financial years. This brought the total annual Crown and Export Education Levy funding for promotions to \$14.45 million.

Overview of key statistics

In the 2011 calendar year there were 98,930 international student enrolments with providers in New Zealand. This represented a slight (0.5%) decrease in international students following the 2.6% growth recorded between 2009 and 2010. A graphical representation of the trend since 2003 is shown in Chart 1.

The overall decrease in international enrolments throughout New Zealand during 2011 was due to the consequences of the Christchurch earthquake of 22 February 2011. This event resulted in a 37% decline in international student enrolments in the Canterbury region during the 2011 calendar year, compared to 2010.

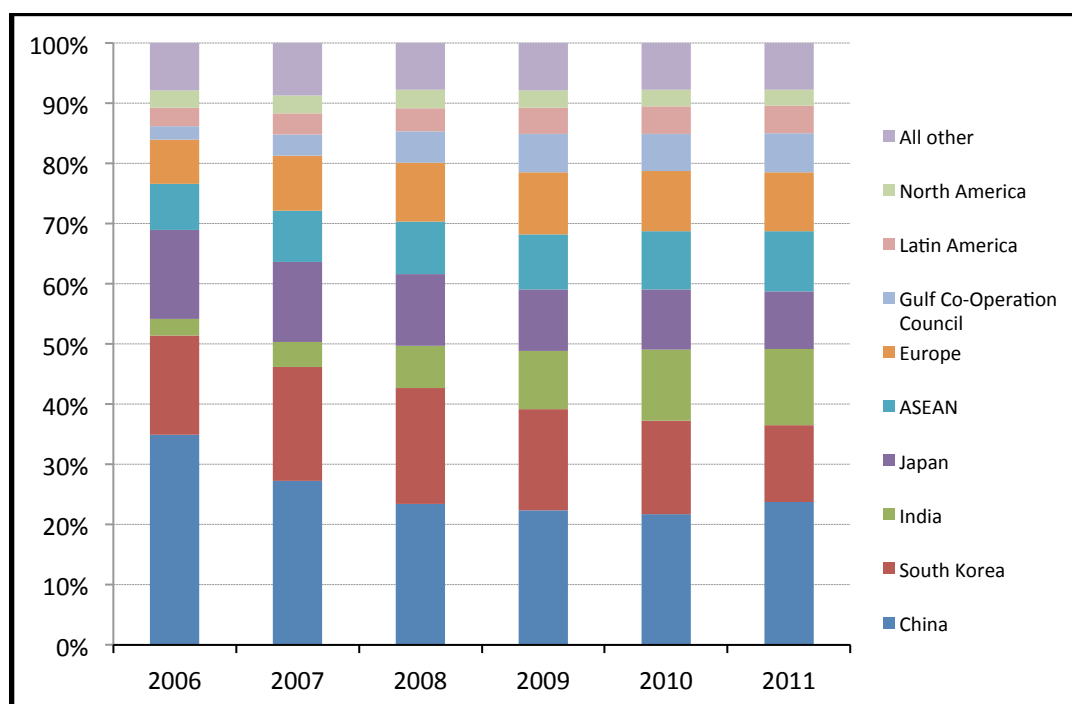
Chart 1: Enrolments of international students in New Zealand, by provider groups



Note: 'Subsidiary providers' are separate English Language/Foundation Studies units at registered providers such as universities and schools.

Information for the four-month period from 1 January to 30 April 2012 showed an overall 1% decrease in international student enrolments, compared to the same period in 2011, from 60,758 to 59,964 enrolments.

Chart 2 presents a breakdown of the citizenship of international fee-paying students for the calendar years from 2006 to 2011. In 2011, the top 5 source countries for international students were China (24%), South Korea (13%), India (13%), Japan (10%) and Saudi Arabia (6%).

Chart 2: Proportion of total international students, by origin

There was a 3% overall growth in tuition fee revenue from international fee-paying students during 2011, totalling nearly \$732 million. The universities earned 40% of this total, followed by private training establishments with 29%.

Table 1: Tuition fee income during the calendar years 2010 and 2011

International tuition revenues by provider groups	2010 (\$ million)	2011 (\$ million)	Proportion of total, 2011	Percentage change, 2010 - 2011
Primary schools	\$16.3	\$13.9	2%	-15%
Secondary schools	\$108.8	\$109.8	15%	1%
Polytechnics	\$86.1	\$90.5	12%	5%
Universities	\$284.0	\$292.7	40%	3%
Private Training Establishments (SDR Providers)	\$77.2	\$93.1	13%	21%
(Non-SDR Providers)	\$121.1	\$115.5	16%	-5%
Subsidiary Providers	\$15.1	\$16.8	2%	11%
Totals	\$708.6	\$732.3	100%	3%

Summary of income and expenditure

Income from the Export Education Levy was \$3,485,395 for the year ended 30 June 2012. This is an increase of nearly 2% compared with the levy income for the year ended 30 June 2011. Combined with the income from interest received and other income, total income was \$3,535,314.

Total expenditure during the financial year was \$3,500,597. This left an operating surplus of \$34,717 as reported in the Statement of Financial Performance for the year ended 30 June 2012.

After making allowance for the operating surplus this year the total equity in the Export Education Levy account as at 30 June 2012 was \$1,726,365.

Export Education Levy income by sector

The Export Education Levy is collected from all education providers that enrol international fee-paying students.

The following table shows the breakdown by education sector, for the levy income between 1 July 2011 and 30 June 2012. Universities contribute the highest proportion of the levy (40%).

Table 2: Export Education Levy income by sector, year ended 30 June 2012

Sector	Number of providers	Levy Income \$ ex GST	% income by sector, 2011/12	% income by sector, 2010/11
Schools	620	\$652,473	19%	20%
Polytechnics	18	\$419,183	12%	12%
Universities	8	\$1,381,215	40%	38%
Private Providers	226	\$960,945	27%	28%
Subsidiary Providers ¹	6	\$71,579	2%	2%
TOTAL	878	\$3,485,395	100%	100%

Expenditure

Industry work programme

The Education New Zealand Trust was responsible for development and delivery of the work programme for the first two months of the financial year. A new Education New Zealand was established as a Crown agency from 1 September 2011 and is responsible for continuing a work programme funded from the Export Education Levy. A total of \$355,388 was spent on the management of the levy funded industry work programme.

¹ Subsidiary providers are separate language units at public tertiary institutions or registered schools.

The lower level of expenditure on research and professional development projects, relative to the 2010/11 year, was mainly due to the reallocation of levy funds to expand marketing and promotions activities.

Research

A total of six research projects were funded at a total cost of \$134,462. The research projects included market research in Taiwan, the economic value of export education to New Zealand and the i-graduate survey of international student satisfaction of their experience in New Zealand.

Marketing and Promotions

The bulk of the Export Education Levy money was spent in this area. A total of \$1,483,683 was spent on promotional events in other countries, developing social media marketing, agent familiarisation visits, development of networks and the development and maintenance of the website.

Professional and Institutional Development

Resource material to the value of \$2,985 was subscribed to during the year.

Industry body core funding

Core operating funding of \$58,500 was provided to the Education New Zealand Trust for the period 1 July to 31 August 2011 to support the following outputs.

1. Information and advisory services to the industry
 - Direct support and advice to institutions and meetings with groups of providers, including the successful annual 'New Zealand International Education' Conference;
 - Information preparation and distribution; and
 - Access to discounts and other benefits.
2. Information and representation on behalf of industry
 - Industry representation to the Government, officials, overseas authorities and other stakeholders; and
 - Response to media and other enquiries, provision of general information resources.
3. Governance and accountability
 - Board functions;
 - Ensuring accountability to the industry; and
 - Accountancy, auditing and legal advice.

Reimbursement of international students

Under sections 238I(1A) and (1B) of the Education Act 1989, the Minister of Education is empowered to use Export Education Levy funds to reimburse the Crown for expenses incurred in assisting international students affected by the closure of a private training establishment.

During the financial year a total of \$557,623 was used from the trust account to reimburse 83 international fee-paying students from three private training establishments that closed. The providers were:

- Bay Flight Aviation Limited;
- Computer Power NZ Limited and;
- Wellington Business School.

In addition one student from Mercer Flying Centre received a partial refund of tuition fees as did one student from Ivy College.

Administration and Monitoring of the Code of Practice

The Code

The mandatory Code of Practice for the Pastoral Care of International Students (the Code) is established under section 238F of the Education Act 1989. The Act requires a provider to be a signatory to the Code in order to enrol international students. The Code was introduced on 31 March 2002 and was most recently revised on 1 November 2010.

The Ministry of Education, through its Pastoral Care office in Auckland, is responsible for the administration of the Code.

Key Tasks of the Pastoral Care office

The key tasks of the Pastoral Care office involve:

- Approval of applications to become a signatory to the Code
- Monitoring of Code compliance through administration of annual self-review and self-attestation return forms, and external agency evaluation reports from New Zealand Qualifications Authority (NZQA) and Education Review Office (ERO)
- Investigation of identified areas of non-compliance and areas for improvement
- Seeking to resolve high risk pastoral care issues
- Seeking to resolve serious breaches in coordination with other agencies, such as NZQA and Immigration New Zealand;
- Referring serious breaches to the International Education Appeal Authority (IEAA) which may impose an appropriate sanction or may recommend to the International Education Review Panel (the Review Panel) suspension or removal of the provider as a Code signatory
- Providing Code advice and resources to Code signatories and
- Liaising and cooperating with other agencies and stakeholders involved with the care and safety of international students nationally and regionally (including Education NZ, Immigration NZ, and regional Police Liaison teams).

The Pastoral Care team also:

- Manages (with the support of the Ministry of Justice) administration of the independent IEAA and Review Panel, and
- Manages government approval and monitoring of student exchange schemes run through Exchange Programme Organisations and school-to-school partnerships.

Approval of Signatories

During 2011/12, 28 new signatories were approved. As at 30 June 2012 there were 1,197 Code signatories. Table 3 shows signatories by sector and type of provider.

Table 3: Code Signatories by Sector and Provider Type to 30 June

	2007	2008	2009	2010	2011	2012
Primary	530	517	518	523	528	529
Secondary	300	300	301	300	301	298
Composite	64	68	69	69	67	74
Total schools	894	885	888	892	896	901
Public Tertiary						
Education Institutions	30	30	29	29	30	30
Subsidiary Providers	9	9	9	7	7	6
Private Providers	296	285	272	270	269	260
Total tertiary	335	324	310	306	306	296
Total number of signatories	1,229	1,209	1,198	1,198	1,202	1,197

Ongoing Monitoring of Signatories

SCHOOL SECTOR OVERVIEW

In 2011/12 the Pastoral Care office investigated 10 schools (1.1%) for Code breaches. All met compliance requirements by the end of the financial year.

The office strengthened cluster network support for schools and attended 15 network meetings to provide advice, update schools on Code requirements and support Homestay coordinators' capability for compliance.

Education Review Office (ERO) and the Code

From July 2011 to April 2012, the Pastoral Care office received and analysed 192 ERO reports. ERO evaluated six aspects of international education and found that the majority of schools were mostly or highly effective in providing pastoral care for international students. Three were referred to the Pastoral Care office for non-compliance. In addition the Pastoral Care office followed up three other schools identified by ERO where self review was partially effective or had limited effectiveness.

Roll Auditors and the Code

The Pastoral Care office is alerted when the Ministry's investigating officers (roll auditors) believe a school is or may not be complying with the Code in relation to the enrolment and resourcing of international students, their immigration status and other documentation. Three roll audit referrals occurred for students whose visas had lapsed.

TERTIARY OVERVIEW

During 2011/12, 29 (10% of) tertiary signatories were under investigation for possible breaches of the Code. Twenty-one of these providers have since met compliance requirements and three have closed while the other five were still under investigation as at 30 June 2012.

The Pastoral Care office delivered seven critical incident planning workshops across the country to 205 participants from tertiary code signatories. Evaluation reports showed 99% of participants gave ratings of 4 or 5 on a 5 point scale for overall quality of the workshops. The materials developed have been published on the Ministry's website (www.minedu.govt.nz) to assist all tertiary code signatories to meet Code requirements.

Private Training Establishments (PTEs)

The New Zealand Qualifications Authority (NZQA) includes a focus area on educational outcomes for international students within every External Evaluation and Review (EER) undertaken with signatory providers. Any issues and support for at-risk providers are discussed at regular meetings between the Pastoral Care office, EER evaluators and NZQA's risk team.

Institutes of Technology and Polytechnics (ITPs)

During 2011/12 four ITPs were reviewed by NZQA. They were all judged to have sound processes related to the pastoral care of international students.

International Education Appeal Authority

The International Education Appeal Authority (IEAA), which has three panel members, adjudicates on complaints received from international students or their authorised representatives, or referred to it by the Pastoral Care office concerning alleged breaches of the Code.

In 2011/2012 the IEAA received 83 new complaints from international students. This continued a trend of decreasing numbers of complaints received since 2009, when the IEAA received 246 complaints, mainly around fee refunds.

This year 54% of complaints concerned fee refunds, the remaining complaints were around issues such as enrolment, expulsion, academic and visa issues.

The Pastoral Care office received and acted on seven issues about PTEs referred by the IEAA and the Review Panel during their investigations.

The Code Administrator lodged three complaints with the IEAA against providers for serious breaches of the Code. A further three are under investigation by the office as a result of having had more than one complaint lodged against them with the IEAA.

A comprehensive IEAA annual report for the period 1 January 2011 to 31 December 2011 is published on the Ministry of Education website (www.minedu.govt.nz)

Table 4: Complaints lodged with IEAA to 30 June

Financial Year	2007	2008	2009	2010	2011	2012
Number of Complaints	53	71	246	175	91	83

**Table 5: Complaints to IEAA for year to 30 June 2012 by Provider Type
(Note: A single complaint may be about multiple providers)**

Provider Type	Number
Private Training Establishment –English Language School	25
Degree-granting Private Training Establishment	4
other Private Training Establishments	37
Public Tertiary Institution	10
Subsidiary Provider	1
Secondary School	2
Not Signatory to the Code	4
Total	83

International Education Review Panel

The International Education Review Panel considers recommendations made by the IEAA when a signatory has committed a serious breach of the Code, or has not satisfactorily complied with a sanction imposed. The Review Panel reports to the Ministry of Education annually. Two cases were referred by the IEAA to the Review Panel in 2011/12. One provider was ordered to be removed as a signatory to the Code of Practice and both providers received the sanction of publication. Details of these cases and an annual report for the period 1 January 2011 to 31 December 2011 is published on the Ministry of Education website.

Administration of the Export Education Levy

The administration of the Export Education Levy is carried out by the Ministry of Education. Costs include the administration of levy collection, management of the levy trust account funds, policy work associated with the levy, computer hardware and software costs and the publication of the annual report. Expenditure on administration during the year ended 30 June 2012 totalled \$132,752.

Export Education Levy

Financial statements for the year
ended 30 June 2012

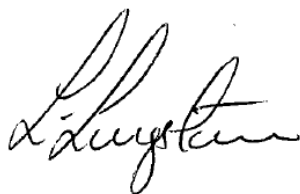
Statement of responsibility

In Terms of Section 238I (3) of the Education Act 1989

The Ministry of Education as the agency responsible for administering the Export Education Levy has prepared these financial statements. The Secretary for Education accepts responsibility for the preparation of the annual financial statements and they have been prepared in accordance with generally accepted accounting practice.

Appropriate systems of internal control have been employed to ensure that all transactions are executed with appropriate authorisation, that all transactions are correctly processed and accounted for in the financial records, and that the assets are properly safeguarded.

In our opinion, the financial statements fairly reflect the financial position as at the end of the financial year and the financial performance and cash flows for the financial year ended 30 June 2012. We authorise the issuance of these financial statements on 30 October 2012.



Lesley Longstone
Secretary for Education

30 October 2012



Tina Cornelius
Chief Financial Officer

30 October 2012

Independent Auditor's Report

To the Readers of the financial statements of the Export Education Levy

Report on the Financial Statements

We have audited the financial statements of the Export Education Levy on pages 17 to 29, which comprise the statement of financial position of the Export Education Levy as at 30 June 2012, and the statement of financial performance, statement of movements in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

This report is made solely to the readers of the financial statements of the Export Education Levy, as a body, in accordance with the Education Act 1989 Section 238I. Our audit has been undertaken so that we might state to the readers of financial statements those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the readers of the financial statements as a body, for our audit work, for this report, or for the opinions we have formed.

Secretary for Education's Responsibility for the Financial Statements

The Secretary for Education is responsible for the preparation and fair presentation of the financial statements, in accordance with generally accepted accounting practice in New Zealand and for such internal control as the Secretary for Education determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing (New Zealand). These auditing standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected, depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we have considered the internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates, as well as evaluating the overall presentation of the financial statements.

We believe we have obtained sufficient and appropriate audit evidence to provide a basis for our audit opinion.

Other than in our capacity as auditor we have no relationship with, or interest in the Export Education Levy.

Opinion

In our opinion, the financial statements on pages 17 to 29:

- ▶ comply with generally accepted accounting practice in New Zealand; and
- ▶ present fairly, in all material respects, the financial position of the Export Education Levy as at 30 June 2012 and its financial performance and cash flows for the year then ended.



30 October 2012
Wellington

Statement of accounting policies

Reporting entity

The Export Education Levy is a scheme administered by the Ministry of Education in accordance with section 238H of the Education Act 1989.

These financial statements have been prepared in accordance with section 238I of this Act, that being New Zealand Generally Accepted Accounting Practice.

Measurement base

The measurement base adopted is historical cost unless otherwise stated.

The financial statements are presented in New Zealand dollars and all values are rounded to the nearest dollar (\$) unless otherwise stated.

Specific accounting policies

Financial instruments

The Ministry of Education as agent for the levy is a party to a variety of financial instrument arrangements as part of its everyday operations.

A financial instrument is any contract that gives rise to both a (recognised or unrecognised) financial asset of one entity and a (recognised or unrecognised) financial liability of another, or is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Financial instruments include accounts payable, receivables and cash. These have been recognised in the Statement of Financial Position.

Revenues and expenses in relation to these financial instruments are recognised in the Statement of Financial Performance.

Revenue

Revenue is derived from levies paid by participating educational institutions and interest on the funds held.

This revenue is recognised when it is earned and is reported in the financial period to which it relates.

Accounts receivable

Accounts receivable are stated at net realisable value.

Cash

Cash consists of cash at bank and is recognised at its fair value.

Accounts payable

Accounts payable are stated at cost.

Goods and Services Tax

The Ministry of Education as agent for the levy is a registered person in terms of the Goods and Services Tax Act 1985. All statements are GST exclusive except for Accounts Payable and Accounts Receivable in the Statement of Financial Position.

Depreciation

Depreciation is provided on a straight line basis at rates that will write off the cost of the assets, less their estimated residual values, over their estimated useful lives.

The useful lives are:

	Years
Computer software	3

Statement of cash flows

The year end bank balance in the Statement of Cash Flows consists of bank accounts that form part of the day-to-day cash management of the Ministry as agency for the levy.

The cash flows are classified into two activities:

a) Operating Activities

Includes cash received from all income sources including the Export Education Levy, bank interest and cash payments made for the supply of goods and services.

b) Investing Activities

The sources and use of this cash include the purchase of operational fixed assets.

Comparatives

Where changes in presentation of the financial statements have been made, comparative figures have been amended to reflect the changes.

Changes in accounting policies

There have been no changes in accounting policies. All policies have been applied on bases consistent with those used in the previous year.

EXPORT EDUCATION LEVY
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2012

Description of Statement

The Statement of Financial Position reports the total assets and liabilities of the Export Education Levy. The difference between the assets and liabilities is the equity.

	Notes	30/06/12 Actual \$	30/06/11 Actual \$
Equity		1,726,365	1,691,648
Which is represented by:			
Current Assets		4,399,521	2,263,437
Cash at Bank	1	3,874,961	1,923,845
Accounts Receivable	2	242,517	5,864
Levy Income Due but Not Received		208,425	228,829
GST Receivable		73,618	104,899
Less			
Current Liabilities		(2,673,156)	(571,789)
Accounts payable		(2,122,105)	(46,320)
Accrued Creditors		(155,676)	(144,513)
Levies Received in Advance		(395,375)	(380,956)
Net Assets		1,726,365	1,691,648

The accounting policies and notes are an integral part of these statements

EXPORT EDUCATION LEVY
STATEMENT OF FINANCIAL PERFORMANCE
FOR THE YEAR ENDED 30 JUNE 2012

Description of Statement

The Statement of Financial Performance details the income and expenditure relating to all goods and services produced by the Ministry as agency for the Export Education Levy.

	Notes	30/06/12 Actual \$	30/06/11 Actual \$
Income			
Export Education Levies		3,485,395	3,424,318
Interest Received		49,918	43,374
Other income		1	10,603
Total Income		3,535,314	3,478,295
Expenditure			
Audit Fee		7,900	7,200
Export Education	3	3,492,623	3,289,598
Depreciation		-	79
Other Costs		74	49
Total Expenditure		3,500,597	3,296,926
Net Surplus/(Deficit)		34,717	181,369

The accounting policies and notes are an integral part of these statements

EXPORT EDUCATION LEVY
STATEMENT OF MOVEMENTS IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2012

Description of Statement

The Statement of Movements in Equity combines information about the net surplus with other aspects of the financial performance of the Export Education Levy to give a degree of measure of comprehensive income. This, together with the Statement of Financial Position, provides information for assessing the return on investment in the Export Education Levy.

	30/06/12 Actual \$	30/06/11 Actual \$
Equity brought forward as at 1 July 2011	1,691,648	1,510,279
Add net surplus/(Deficit)	34,717	181,369
Total Recognised Revenues and Expenses for the Year	34,717	181,369
Total Equity as at 30 June 2012	1,726,365	1,691,648

EXPORT EDUCATION LEVY
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2012

Description of Statement

The Statement of Cash Flows summarises the cash movements in and out of the Export Education Levy Trust Account during the year.

	Note	30/06/12 Actual \$	30/06/11 Actual \$
Operating Activities			
Cash was Received From			
Export Education Levy		3,520,138	3,452,700
Interest		44,149	43,874
GST		301,964	-
		3,866,251	3,496,574
Cash was Expended on			
Production of Outputs			
Personnel		(131,597)	(121,701)
Operating		(1,783,538)	(3,809,766)
GST		-	(125,138)
		(1,915,135)	(4,056,605)
Net Cash Flows From Operating Activities	4	1,951,116	(560,031)
 Cash at year start		 1,923,845	 2,483,876
Cash at year end		3,874,961	1,923,845
Represented by Cash at Bank		3,874,961	1,923,845

The accounting policies and notes are an integral part of these statements

Statement of Commitments

There are no commitments at 30 June 2012 (Nil for the year ended 30 June 2011)

Statement of Contingent Assets

There are no contingent assets at 30 June 2012 (Nil for the year ended 30 June 2011)

Statement of Contingent Liabilities

There are no contingent liabilities at 30 June 2012 (Nil for the year ended 30 June 2011)

Notes to the Financial Statements

Note 1 - Bank

	30/06/12 Actual \$	30/06/11 Actual \$
Cheque Account	3,378,771	1,444,397
Short Term Investments	496,190	479,448
Total Bank	<u>3,874,961</u>	<u>1,923,845</u>

Note 2 - Accounts Receivable

	30/06/12 Actual \$	30/06/11 Actual \$
Accounts Receivable	1,620	1,077
Accrued Debtors	230,715	375
Accrued Interest	10,182	4,412
Total Accounts Receivable	<u>242,517</u>	<u>5,864</u>

Note 3 - Export Education Levy Costs

	Notes	30/06/12 Actual \$	30/06/11 Actual \$
Bad Debts Written Off		4,517	951
Doubtful Debts Provision		-	(832)
Professional Development	5	2,985	266,000
Promotions	6	1,483,683	995,000
Research	7	134,462	444,500
Other	8	556,000	685,540
Code of Practice for the Pastoral Care of International Students	9	753,353	752,219
Support for students affected by failure of providers		557,623	146,220
Total Export Education Levy Costs		<u>3,492,623</u>	<u>3,289,598</u>

Note 4 - Reconciliation of Net Surplus with Cash Flows from Operating Activities**Description of Reconciliation**

This reconciliation discloses the non-cash adjustments included in determining the net operating surplus reported in the Statement of Financial Performance to arrive at the net cash flows from operating activities disclosed in the Statement of Cash Flows.

	30/06/12 Actual \$	30/06/11 Actual \$
Reported Net Surplus/(Deficit)	34,717	181,369
Add/(Less) Non-cash Items		
Depreciation	-	79
	-	79
Add/(Less) Movements in Working Capital Items		
(Increase)/Decrease in Accounts Receivable	(543)	2,856
(Increase)/Decrease in Doubtful Debts	-	(832)
(Increase)/Decrease in Accrued Debtors	(230,340)	265,978
(Increase)/Decrease in Interest Receivable	(5,770)	500
(Increase)/Decrease in Levy Income Due but Not Received	20,404	(12,472)
Increase/(Decrease) in Accounts Payable	2,075,785	(867,575)
Increase/(Decrease) in Accrued Creditors	11,163	(130,253)
Increase/(Decrease) in Levy Received in Advance	14,419	30,252
(Increase)/Decrease in Net GST	31,281	(29,933)
	1,916,399	(741,479)
Net Cash Flows from Operating Activities	1,951,116	(560,031)

Note 5 - Professional Development

	30/06/12 Actual \$	30/06/11 Actual \$
Resource material	2,985	-
Training for staff at providers	-	266,000
Total Professional Development	2,985	266,000

Note 6 - Promotion

	30/06/12	30/06/11
	Actual	Actual
	\$	\$
Agent familiarisation visits	62,734	150,000
Events held in other countries	1,096,991	475,000
Network development	60,866	100,000
Published material	19,854	-
Social media marketing	236,128	-
Website development and maintenance	7,110	110,000
Communications Management	-	130,000
Industry Liasion	-	30,000
Total Promotion	1,483,683	995,000

Note 7 - Research

	30/06/12	30/06/11
	Actual	Actual
	\$	\$
Development of industry	26,000	-
Economic value of international students	26,689	-
Impact on society	-	15,000
Market research	63,573	219,500
Pathways	-	60,000
Student satisfaction	18,200	150,000
Total Research	134,462	444,500

Note 8 - Other Expenses

	30/06/12	30/06/11
	Actual	Actual
	\$	\$
Industry Body Core Funding	58,500	351,000
Levy Programme Management - Education NZ	355,388	209,000
Printing of Annual Report	240	579
Levy Policy Staff Costs	50,571	47,266
Levy Administration costs	81,078	77,305
Software Maintenance	863	390
Other Services and Contracts	9,360	-
Total Other Expenses	556,000	685,540

Note 9 - Code of Practice for the Pastoral Care of International Students

		30/06/12 Actual \$	30/06/11 Actual \$
Administration of Code	10	503,300	516,443
International Education Appeal Authority (IEAA)		233,344	131,487
Review Panel		16,206	(1,517)
Audit of Code for Private Training Establishments		-	22,350
Audit of Code for Institutes of Technology and Polytechnics		-	10,500
Resources		503	72,956
Total Code Office		753,353	752,219

Note 10 - Administration of Code

		30/06/12 Actual \$	30/06/11 Actual \$
Personnel		402,521	382,342
Travel and Meetings		61,024	91,505
Communications		3,002	2,036
Office Expenses		36,753	40,560
Total Code Office		503,300	516,443

Note 11 - Financial Instruments*Credit Risk*

Financial instruments which potentially subject the Export Education Levy to credit risk principally consist of bank balances and accounts receivable.

The Export Education Levy does not hold any collateral for any of its assets subject to credit risk.

Maximum Credit Risk Exposure

	30/06/12	30/06/11
	Actual	Actual
	\$	\$
Bank	3,874,961	1,923,845
Accounts Receivable	242,517	5,864
Total Maximum Credit Risk Exposure	<u>4,117,478</u>	<u>1,929,709</u>

The above maximum exposures are net of any recognised provision for losses on these financial instruments.

Concentrations of Credit Risk

All bank balances are held with the same bank. There are no other concentrations of credit risk.

Interest Rate risk

Included within the bank balance is \$496,190 (2011: \$479,448) held on term deposit at a weighted average interest rate of 3.63% (2011: 3.54%). All term deposits have maturity dates less than 1 year.

Fair Value

The fair value of all financial instruments is equivalent to the carrying value disclosed in the Statement of Financial Position.

Note 12 - Related Party Disclosure

The Ministry of Education is a related party of the Export Education Levy. The Ministry of Education administers the Export Education Levy, provides policy advice to the government, and undertakes

services related to the Code of Practice for the Pastoral Care of International Students.

These services are provided on an arm's length basis.

The majority of the transactions with the Ministry of Education are reimbursements for payments made by the Ministry to third party providers.

	Notes	30/06/2012	30/06/2011
Expense transactions with the Ministry of Education	5-9	2,930,483	3,143,259
Accounts payable to the Ministry of Education		2,277,781	190,833

Note 13 - Segment Information

The Export Education Levy operates in the Export Education industry. All operations are carried out within New Zealand.